Individual Contribution Note

Six Additional Ideas to Enter the French Air Conditioner Market

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Figure. Breeze brand concept, from the group launch deck.

Introduction

Our group dossier laid out the main plan for Breeze in France. We chose direct export, sale through Leroy Merlin and Brico Dépôt, installation by a partner network of certified fitters, and a price of 1,990 euros installed. That plan already covers the standard levers of retail, price, and paid media.

In this note I put down six extra ideas that I worked on outside the shared document. Each one tries to solve a problem the main dossier flagged but did not fully close. Those problems are the thin margin per unit, the trust barrier for an unknown Indian brand, and the slow route through French co-ownership rules. I have kept the ideas practical enough to be tested in the Lyon and Bordeaux pilot without changing the core plan. Where a rough number is used, it is my own estimate for discussion, not a firm figure.

How this note connects to the group dossier

Before writing this note I went back through the group document and listed the problems that our final plan admits but does not fully solve. Three points stood out.

The first is a thin margin. Our price build up on page 15 of the group dossier shows that Breeze earns only about 105 to 215 euros per unit before marketing and warranty costs. For a pilot this is manageable. For a national business it is not. Idea 1 in this note tries to fix this without a price cut.

The second is the co-ownership vote. Our dossier flags this as the hardest practical block for apartment buyers. The syndic meeting happens once a year, and a single refusal delays Claire's purchase by twelve months. Ideas 2 and 3 offer two very different ways around this, one for existing buildings and one for buildings being built now.

The third is trust. France scores 86 on Hofstede's uncertainty avoidance dimension, and our plan admits that an unknown Indian brand at a lower price may read as cheap rather than smart. Ideas 4, 5, and 6 each attack the trust problem from a different angle. One uses medical partners, one uses hosts, and one lets the customer test the product before deciding to buy.

The six ideas therefore do not compete with the group plan. They plug specific holes in it.



Figure. The three adoption problems the group deck identified (trust, energy, installation).

Idea 1. Use the French energy savings certificate (CEE) to bring down the price for the buyer without cutting our margin

France runs a scheme called Certificats d'Économies d'Énergie, or CEE for short. Under this scheme, energy suppliers like TotalEnergies, EDF, and Engie have a legal duty to help their customers save energy. If they do not save enough, they pay a fine. To meet the target, they buy CEE certificates from anyone who installs equipment that reduces energy use in French homes. A reversible air to air heat pump like Breeze counts as such equipment, because it heats a home in winter using less electricity than a normal electric radiator.

The scheme has a special version called "coup de pouce" for air to air heat pumps. Depending on the buyer's income, the payment for a single household can sit between 100 and 300 euros. For lower income households the amount can be higher.

Our main dossier prices Breeze at 1,990 euros installed and admits that the margin per unit is thin. My proposal is that Breeze either registers itself as a délégataire under this scheme, or signs a contract with one of the existing players like Effy, Hellio, or TotalEnergies CEE. When a customer buys a Breeze unit, the CEE payment goes straight to that customer. The final price the buyer sees drops to around 1,700 to 1,800 euros, but Breeze still receives the same 1,990 euros in total. The state, in effect, funds the discount.

This idea has three effects that our current plan does not deliver. First, it makes Breeze cheaper for Claire without touching our floor price of 1,590 euros. Second, it gives our in store advisers a strong opening line that Daikin and Mitsubishi rarely use. Third, it uses a system that is genuinely French, which helps an Indian brand feel less foreign to the buyer.

The main work required is paperwork. We need to make sure Breeze is on the approved product list, and we need a partner who can handle the file submission for each sale.

Idea 2. Neighbour bundle pricing to unlock apartment blocks

Our dossier repeats one point many times. The biggest practical barrier in France is not the customer's wallet but the co-ownership meeting. In a French apartment block, an outdoor unit fixed on the wall or balcony often needs approval from the assemblée générale of the residents. That vote happens once a year. If Claire misses it, she waits twelve months.

The current plan tries to soften this with an approval kit for the syndic. That is useful but slow. My idea goes one step further and turns the whole building into a sales unit.

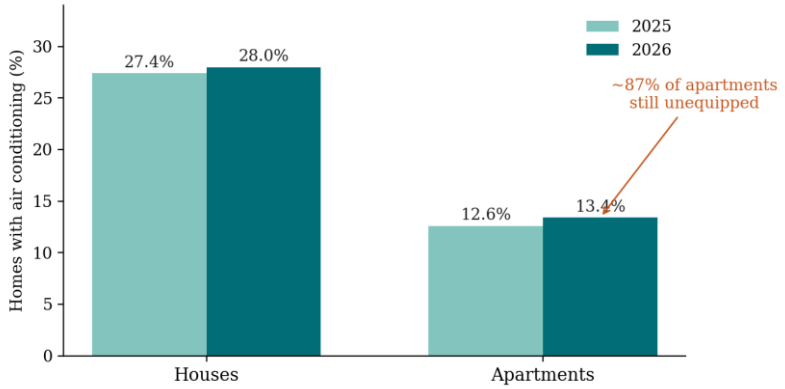


Figure. Apartments lag houses on AC adoption in France (Hello Watt, 2026). Neighbour bundles target this gap.

The offer would work like this. If three or more apartments in the same building buy a Breeze unit within the same summer season, every one of those apartments gets a discount of 10 percent, and

Breeze pays the syndic a small fixed fee (I suggest around 150 euros) to add the request to the meeting agenda. The syndic has almost no reason to say no, since the residents want it and Breeze covers the admin cost.

The logic is simple. One convinced neighbour is far more persuasive than any advertisement. If Claire tells two friends in her building, and the three of them apply together, Breeze wins three sales at once, the co-ownership approval passes more easily, and the outdoor units can share the same wall drilling visit, which saves the installer time.

I would suggest testing this in five or six chosen apartment blocks in Lyon during the pilot. If we can show that a neighbour bundle raises the sale rate per building from one flat to three, this becomes one of the fastest growth loops available to Breeze, and it costs less than a national advertising campaign.

Idea 3. Sell Breeze through property developers (promoteurs) before the apartment is even finished

New apartments in France are usually sold off plan through a system called VEFA, or vente en état futur d'achèvement. The buyer picks the flat from a brochure, pays in stages as the building goes up, and often chooses upgrades like a fitted kitchen or extra storage. These upgrades are added to the mortgage and spread over twenty or twenty five years.

Air conditioning is a natural fit for this list, especially after the 2026 heatwave. My idea is that Breeze signs a deal with one or two large French developers such as Nexity, Bouygues Immobilier, Vinci Immobilier, or Kaufman & Broad, to offer Breeze as a factory fitted option during the VEFA stage. The price shown to the buyer would be around 1,200 euros for the pre installation, since there is no separate installer visit needed. The developer earns a small margin. Breeze earns volume with almost no trust cost and no installer capacity problem, because the fitting is done during construction by the site's own team.

For our dossier, this idea does something the main plan does not. It removes the two hardest steps in Claire's journey at once, which are the installer wait and the co-ownership vote. In a new building sold under VEFA, both problems disappear. It also gives Breeze a route into buildings where the sale is closed before the family has moved in, and this is a channel Daikin has not yet locked down.

The risk is that these deals take time to sign and the volumes are smaller in year one. That is why I would treat this as a Phase 2 lever rather than a Phase 1 lever, but I would start the conversations during the pilot itself.

Idea 4. Partnership with a mutuelle or a public health body

Since the deadly heatwave of 2003, which killed close to 15,000 people in France, the French state and health insurers treat extreme heat as a public health issue rather than a comfort issue. The "plan canicule" runs every summer, and mutuelles like Harmonie Mutuelle, MGEN, and Malakoff Humanis already send prevention advice to their members before the hot months.

My proposal is a partnership with one or two mutuelles under which Breeze is offered at a lower price, or with a small monthly payment plan, to members who are over 65 or who live with chronic conditions such as heart disease or asthma. The mutuelle can present it as heatwave prevention, similar to how they already fund glasses or hearing aids. The mutuelle pays a part of the cost, the member pays the rest, and Breeze receives the full amount.

This idea does something the standard marketing plan cannot. It gives Breeze a stamp of medical trust. When a mutuelle recommends a product, an unknown Indian brand suddenly stops feeling risky. It also opens a customer segment (older buyers who are cautious and slow to change) that Daikin and Samsung do not target directly. That segment is small in volume but very high in loyalty, and every satisfied older customer tends to bring in one or two younger family members.

The main work here is a health and safety file that shows the product is safe for older users, and a clear script for the mutuelle's own advisers. I would test one mutuelle in the Lyon region during the pilot, and expand if the response is good.

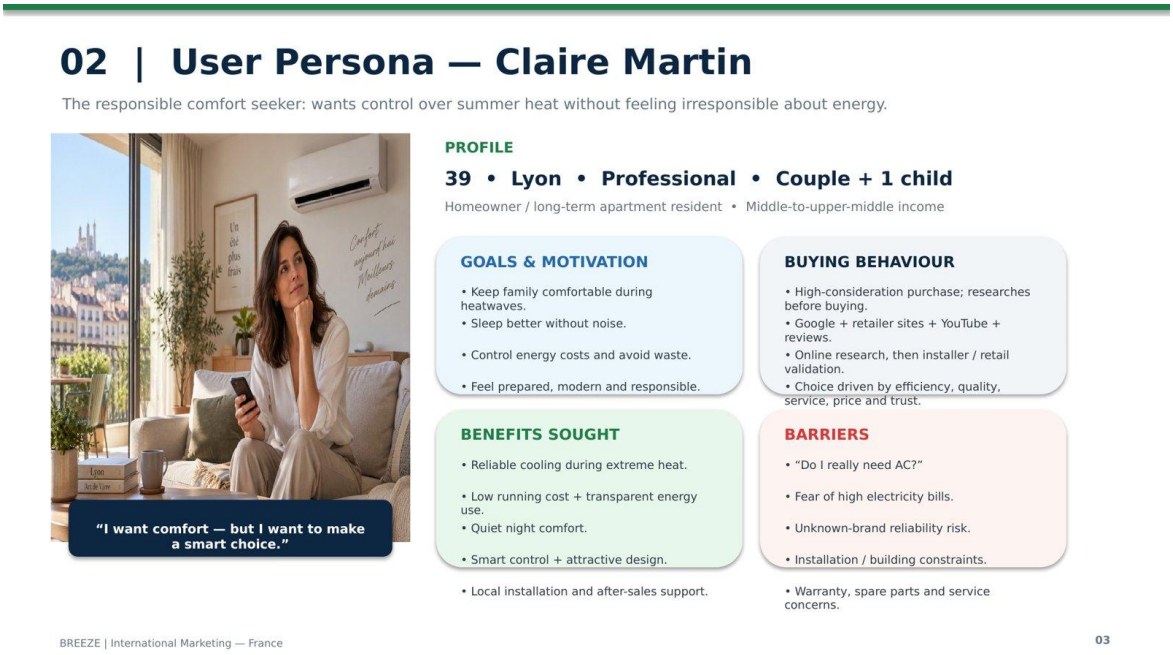


Figure. Claire Martin persona from the group deck. The mutuelle route also opens a second segment of older, cautious buyers not shown here.

Idea 5. Hospitality channel through Airbnb hosts, Gîtes de France, and small hotels

The main dossier looks only at people who own or rent a home for themselves. It does not look at hosts. In France there are around 800,000 short term rental listings on platforms like Airbnb and Booking.com, plus around 45,000 gîtes classified under the Gîtes de France network. All of these hosts share one thing in common. They compete on filters, and "climatisation" is a filter that many summer travellers now use before they book.

A host with three flats in Bordeaux who fits Breeze in all three earns more per night in July and August, and gets better reviews when the guest sleeps well during a heatwave. The trust problem almost disappears in this segment, because hosts read spec sheets and price per unit, not brand image.

My idea is a dedicated host offer. Hosts who buy two or more Breeze units get a 12 percent discount, a small commission if they refer other hosts, and a French language sticker for the flat that mentions the brand. Every guest who stays there becomes a walking demo, seeing the live cost display and the app, then going home to their own apartment and remembering the name.

I estimate that reaching even 500 hosts in Lyon and Bordeaux during the pilot summer would mean roughly 1,000 Breeze units installed in high traffic apartments, and tens of thousands of guests exposed to the product with almost zero paid media cost.

Idea 6. "Un été d'essai" or try a summer, a lease to own scheme

Our dossier quotes the Hofstede score for France on uncertainty avoidance, which is 86. It notes that French buyers are slow, careful, and want proof before spending. The current plan tackles this with a five year warranty and creator reviews. Those help, but they do not remove the risk. Claire is still spending 1,990 euros on a brand she has never heard of, based on the promise that it will work well.

My idea is a rental plan called "Un été d'essai," which means a summer to try. Instead of buying the unit, Claire pays around 89 euros per month for four months, from May to August. During that time the unit is fitted in her flat and she uses it through the peak heat. At the end of August she has three choices. She can return the unit at no extra cost. She can keep paying monthly for another year. Or she can buy the unit, and the rental payments she has already made (around 356 euros) are taken off the final price of 1,990 euros.

This kind of scheme is used already in France for solar panels and for some furniture, so the legal frame exists. It removes the trust barrier almost completely, since the customer risks four monthly payments instead of two thousand euros. The unit that comes back can be refurbished by FranceCare and sold as certified used, which opens a lower price tier for buyers who cannot afford new.

There is one risk to manage. If too many people return the unit at the end of the summer, Breeze is left with used stock. That is why I would cap the offer at 200 units in the pilot cities and use it as a way to prove demand, not as the main sales channel. If the return rate stays under 20 percent, the scheme is a keeper.

Closing note and how I would rank these ideas

Of the six ideas above, I would rank the CEE certificate route and the neighbour bundle for apartment blocks as the two that Breeze should start work on right away. They need the least new capability and they directly ease two problems the main plan already flagged, which are the thin margin and the co-ownership block.

The developer, mutuelle, and hospitality routes are longer term ideas, but they open channels that Daikin and Mitsubishi have not defended. If any one of them works well during the pilot, Breeze gains a route into new customers that competitors will find hard to copy quickly.

The lease to own scheme is the boldest of the six. I would treat it as a small controlled experiment during the pilot rather than a main plank, because it changes the sale from a one time purchase into a service, and that is a bigger shift for Breeze internally.

None of these six ideas replaces the group's core plan. They sit on top of it as extra levers, each aimed at a French detail that a purely marketing led approach can miss. The wider point I took from writing this note is that the French market rewards patience and locally rooted design. An Indian brand that shows it has understood the CEE scheme, the syndic vote, the mutuelle role, and the VEFA cycle will feel far more credible than one that only speaks the language of price and features.

Limits of this note and what I still need to test

I should be honest about what this note is not. It is not a full financial plan for the six ideas. The numbers I have used, such as the 150 euro syndic fee, the 12 percent host discount, the 89 euro monthly rental, and the 500 host target, are my own working estimates. Some of them will move once we speak to a real syndic, a real mutuelle, or a real developer.

A few open questions are worth listing so that a reader knows what a second draft would need to answer. On Idea 1, we need to confirm that a wall mounted reversible monosplit at the size Breeze is selling qualifies for the coup de pouce payment, since the exact list of eligible products is updated

by the French ministry every few months. On Idea 2, we need legal advice on whether a discount tied to a group purchase in a co-owned building is allowed under French consumer law, since French rules on tied offers are strict. On Idea 3, the price of a factory fitted air conditioning option in a VEFA sale will depend on the developer's own margin policy, so 1,200 euros is only a starting point for negotiation.

On Idea 4, the medical framing has to be handled with care. Breeze is not a medical device, and we should not claim health benefits without evidence. The right claim is that indoor cooling below a certain temperature reduces the risk of heat related illness, which is already documented by Santé Publique France in their canicule guidance. On Idea 5, host focused pricing may cause friction with our two retail partners, Leroy Merlin and Brico Dépôt, so this channel will need to be explained to them before it is rolled out. On Idea 6, the lease to own scheme needs a proper consumer credit licence in France, which takes time to obtain. In the pilot we could work through a licensed partner rather than building this in house.

Even with these open points, I believe the note is useful for the group and for Professor Duncan. It shows that beyond the standard four Ps of product, price, place, and promotion, France offers a set of specific local mechanisms that a brand from outside Europe can plug into. These mechanisms are legal, funded, and already in use by French players. Breeze does not need to invent them. It only needs to be smart enough to pick them up early.

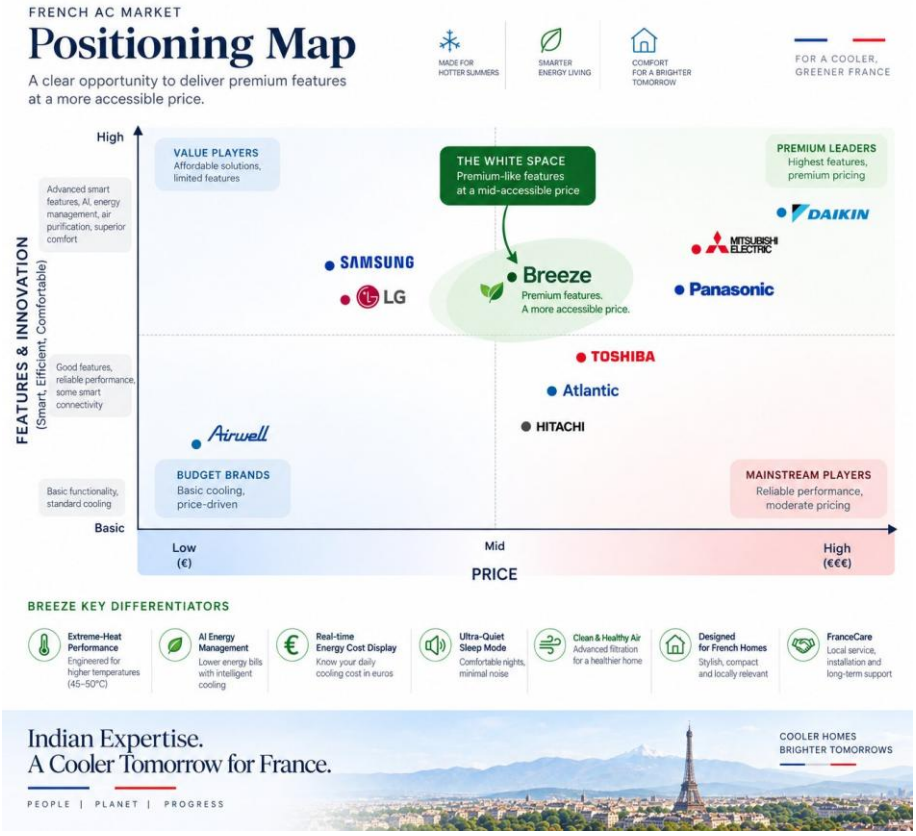


Figure. Breeze positioning map from the group deck. The six ideas above are designed to defend the white space Breeze aims to occupy.